SUDAN

Table 1	**2019**
Population, million	42.5
GDP, current US$ billion	18.9
GDP per capita, current US$	444
International poverty rate ($1.9)[a]	12.7
Lower middle-income poverty rate ($3.2)[a]	45.0
Upper middle-income poverty rate ($5.5)[a]	79.9
Gini index[a]	34.2
School enrollment, primary (% gross)[b]	76.8
Life expectancy at birth, years[b]	64.9

Source: WDI, Macro Poverty Outlook, and official data.
Notes:
(a) Most recent value (2014), 2011 PPPs.
(b) Most recent WDI value (2017).

Economic activity in Sudan will be impacted by the global COVID-19 pandemic. Economic growth for 2020 has been will be affected by declining external demand, and lower domestic consumption due to containment measures. Severe economic challenges will remain in the medium-term as the country struggles to restore macroeconomic stability in the absence of access to much needed external finance. The ongoing economic crisis, exacerbated by COVID-19, is expected to lead to higher poverty rates.

Recent developments

Sudan's economic performance continued to deteriorate in 2019, with real GDP contracting by an estimated 2.6 percent, after a contraction of 2.3 percent in 2018. The recession is predominantly driven by reductions in private consumption and investment, which were negatively impacted by political unrest and an ongoing currency crisis. Weak economic performance in 2019 also reflects declining agriculture production, amid continued droughts.

The fiscal deficit (excluding quasi-fiscal operations of the Central Bank of Sudan) deteriorated from 6.6 percent of GDP in 2017 to 10.5 percent of GDP in 2019 due to higher fuel subsidies (driven by higher international oil prices and a sharp depreciation of the currency) which increased by 7.5 percentage points to 11.8 percent of GDP between 2018 and 2019. The fiscal deficit also widened due to persistently low revenue mobilization and increasing government expenditure. Revenue collection is estimated at 6 percent of GDP in 2019.

Sudan's fiscal deficit is financed through monetization which has been the primary source of inflationary pressures in the country. The exchange rate on the parallel market depreciated to 85 SDG to 1 USD in December 2019, prompting the government to devalue the official exchange rate from 47.5 SDG to 1 USD to 53.9 SDG to 1 USD. Money supply growth reached 111.8 percent in 2018 but has since moderated to 67 percent in 2019. The inflation rate averaged 51.3 percent in 2019. Sudan's debt to GDP ratio as at end-2019 stands at 213 percent of GDP of which external debt accounts for approximately 90 percent. External debt is US$54.5 billion of which 85 percent is in arrears.

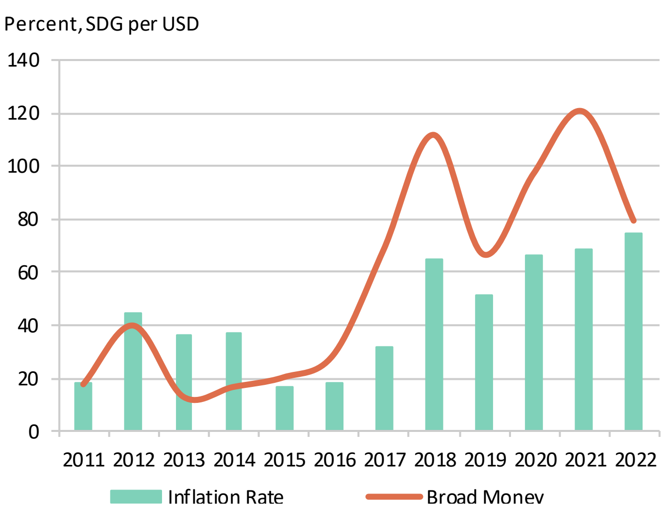
The current account deficit increased from 6.3 percent of GDP in 2018 to an estimated 8.1 percent of GDP in 2019 as months of protest and the droughts affected exports. In addition, as the currency continued to depreciate the trade balance also depreciated as the value of imports increase. The Gross international reserves are low at $1.4 billion in 2019 (2 months of imports).

It remains unclear what current poverty and inequality levels are because the poverty data from the latest household survey (2014/15) do not reflect the current macroeconomic imbalances in Sudan. Assuming distribution-neutral consumption growth, poverty rates may have increased consistently in recent years, to reach in 2019 an estimated 14.2 percent at $1.90/day PPP and 47 percent at $3.20/day PPP. The 2018 food price hikes are estimated to have aggravated the poverty, inequality, and overall economic welfare situation. The price increases of wheat, sorghum, millet, and their derivative products alone resulted in an increase in extreme poverty by an estimated 3.2 percentage points.

Outlook

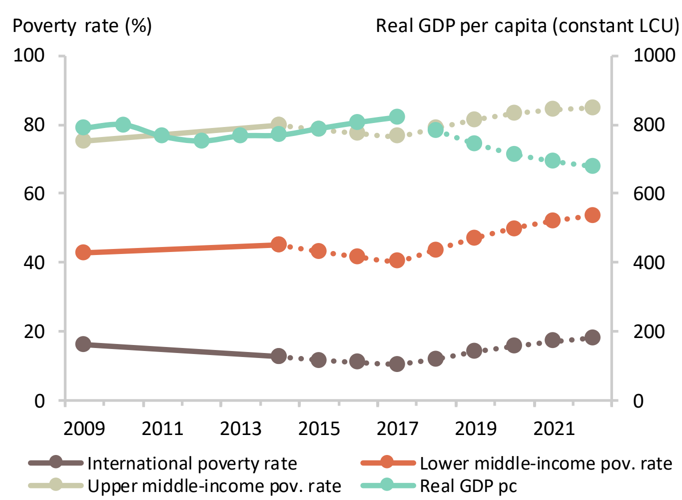
Economic growth is expected to remain subdued in the medium-term as the

FIGURE 1 Sudan / Inflation and money supply



Sources: WDI and staff estimates.

FIGURE 2 Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank
Note: see Table 2.

country grapples with the COVID-19 pandemic and economic imbalances continue. Specifically, economic growth is expected to decline by a further 0.8 ppt in 2020 to -2.1 percent due to disruptions associated with the COVID-19 outbreak. Under the baseline scenario, closure of ports and collapsing demand from trading partners like United Arab Emirates (37 percent of exports), Saudi Arabia and China (13 percent) will result in drop in exports. Domestic (private) consumption is also expected decline as a result of domestic containment measures. In addition, if economic reforms are further delayed high inflation will persist as the exchange rate continues to depreciate and monetary aggregates continue to expand due to monetisation of fiscal deficits.

The fiscal deficit will widen in the medium-term as revenue mobilization remains low and government expenditure remains high. The 2020 budget includes planned increases in revenue by 16.1 percentage point and increase in spending by 16.6 percentage point. These increases represent more than a doubling from 2019. The major driver of the increase in revenue is presumed to be substantial increases in grants and revenue from tax, custom, and state-owned-enterprise income. Expenditure will be driven by increase spending on wages and salaries as well increase in subsidy. The 2020 budget depends on significant external financing from the gulf countries and Arab development funds. The current crisis could affect that supply adversely, and thereby increase budgetary imbalance. On the positive side, lower oil prices will decrease the size of fuel subsidies that are currently a huge burden on the budget.

The outlook for poverty remains negative. Poverty rates are projected by 2022 to increase to 18.3 percent at $1.90/day PPP, and 53.5 percent at $3.20/day PPP. High inflation, shortage of fuel and other basic commodities are expected to continue having negative effects on living conditions. The impending economic stabilization reforms are expected to take time to deliver positive results.

Risks and challenges

Risks to Sudan's outlook remains on the downside. Growth and poverty reduction prospects may be further delayed due to the global threat of COVID-19. A more severe and prolonged the COVID-19 outbreak than currently assumed could have further negative effects on the outlook. Under an escalating scenario, outbreaks in advanced economies linger so that containment measures can only be lifted after four months, leading to further social distancing and containment measures. In this context, an escalating outbreak could affect supply chains and disrupt further transportation (air and freight) and result in a -2.6 percent decline in economic growth in 2020. Growth would then improve in 2021 to -0.5 percent. Poverty may be exacerbated if the pandemic results in a long-time lockdown of businesses and loss of jobs.

Sudan also faces the risk of further macroeconomic instability and deteriorating productivity as the government of Sudan struggles to implement reforms. Without a strong stabilization program, the current fragile economic situation risks deteriorating further. Restoring macroeconomic stability will require adjustments to monetary, fiscal and exchange rate policy. The feasibility of revenue mobilization envisioned by the government in the 2020 budget is uncertain. In addition, the budget does not include subsidy reductions that could free up more resources for better uses. In addition, Sudan remains on the U.S. State Sponsors of Terrorism List (SSTL), which continues to limit the country's access to external resources, dissuade foreign investment, and delay a restoration of correspondent banking relationships.

TABLE 2 Sudan / Macro poverty outlook baseline scenario (annual percent change unless indicated otherwise)

	2017	2018	2019 e	2020f	2021f	2022 f
Real GDP growth, at constant market prices	4.3	-2.3	-2.6	-2.1	-0.5	0.3
Private Consumption	3.0	-3.2	-2.5	-2.4	-1.2	-0.3
Government Consumption	15.5	-1.1	-9.8	-1.7	-0.1	-0.3
Gross Fixed Capital Investment	3.0	-2.9	-1.5	-1.5	-1.2	1.1
Exports, Goods and Services	3.5	0.8	2.3	-1.3	2.8	2.8
Imports, Goods and Services	-1.0	-0.4	1.6	-0.3	2.4	2.6
Real GDP growth, at constant factor prices	3.9	-2.3	-2.6	-2.1	-0.5	0.3
Agriculture	2.5	-1.5	-1.0	-1.5	0.2	-0.3
Industry	4.5	-1.7	-0.7	-1.3	-0.7	-0.7
Services	4.5	-3.2	-4.7	-3.0	-0.8	1.4
Inflation (Consumer Price Index)	32.0	64.8	51.3	62.1	63.4	64.8
Current Account Balance (% of GDP)	-3.9	-6.3	-8.1	-9.9	-8.9	-10.1
Net Foreign Direct Investment (% of GDP)	0.9	1.9	5.9	8.5	8.7	10.0
Fiscal Balance (% of GDP)	-6.6	-4.3	-10.5	-12.4	-13.5	-15.7
Debt (% of GDP)	122.8	91.2	213.1	232.3	247.4	260.1
Primary Balance (% of GDP)	-6.1	-3.0	-8.5	-11.3	-13.1	-13.0
International poverty rate ($1.9 in 2011 PPP)[a,b]	10.6	12.1	14.2	15.8	17.2	18.3
Lower middle-income poverty rate ($3.2 in 2011 PPP)[a,b]	40.4	43.7	47.0	49.9	51.9	53.4
Upper middle-income poverty rate ($5.5 in 2011 PPP)[a,b]	76.6	79.0	81.5	83.3	84.4	85.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.
Notes: e = estimate, f = forecast.
(a) Calculations based on 2014-NBHS. Actual data: 2014. Nowcast: 2015-2019. Forecast are from 2020 to 2022.
(b) Projection using neutral distribution (2014) with pass-through = 1 based on GDP per capita in constant LCU.

The cut-off date for information in this MPO was April 02, 2020.